

Unfair Competition.

Business & Professions Code §17200 states:

As used in this chapter, unfair competition shall mean and include any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising and any act prohibited by Chapter 1 (commencing with Section 17500) of Part 3 of Division 7 of the Business and Professions Code.

While this cause of action can apply to a case involving a breach of contract, it does not apply absent conduct that would qualify as unfair, unlawful or fraudulent. (*Puentes v. Wells Fargo Home Mortgage, Inc.* (2008) 160 Cal. App. 4th 638, 645 [“A breach of contract may form the predicate for Section 17200 claims, provided it also constitutes conduct that is ‘unlawful, or unfair, or fraudulent’”].) A seller who warrants the absence of liens or encumbrances but has no knowledge of a secret maritime lien would not appear to qualify.

In terms of derivative claims, without allegations beyond breach of contract surviving this demurrer, there is no basis for alleging an unfair business practices cause of action.

The court therefore sustains the demurrer of DAVID and MITCHELL to this cause of action.

Further Amendment This is the third demurrer to Plaintiff’s various complaints. This suit was filed February 13, 2025. Plaintiff has had ample opportunity to conduct discovery and identify specific facts, if any exist, to allege with specificity the who, how, what and when necessary to state the fraud and negligent misrepresentation claims as to Defendants. With no showing offered by Plaintiff’s opposition as to how the complaint could be amended, the court sustains the demurrer by DAVID as to all causes of action except breach of contract and to MITCHELL without leave to amend.

Under CRC 3.1320(g), DAVID has 10 days to file an answer to the sole remaining cause of action alleged against him in the second amended complaint, the first cause of action for breach of contract.

ALDEN S. DULAY, CHEREE MCKELVEY, ROMAN BASS and NENITA L. CADUNGUG, individually and on behalf of others similarly situated v. TRAVIS CREDIT UNION Solano Case No. FCS058361

BREANNA BOX, individually and on behalf of others similarly situated v. TRAVIS CREDIT UNION, Contra Costa C22-01202

Coordinated Proceedings JCCP 5254

Motion for Preliminary Approval of Class Action Settlement

TENTATIVE RULING:

Parties to appear.

Plaintiffs ALDEN S. DULAY, CHEREE MCKELVEY, ROMAN BASS, NENITA CADUNGUG and BREANNA BOX ("Plaintiffs") move for preliminary approval of a proposed class action and PAGA settlement.

The Solano County case was coordinated with the Contra Costa County case and assigned to Solano County August 10, 2023.

Overview of Preliminary Approval of Class Action and PAGA Settlement

Before granting final approval of class settlements, courts grant preliminary approval of the class settlement, grant conditional certification of the class, approve the forms and methods of class notice, and set a final hearing.

Class actions are authorized under Code Civ. Proc., § 382, whenever the question in a case is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court. Certification is a procedure by which the court determines whether a plaintiff is a proper class representative and the action can proceed to trial as a class action. To obtain class certification, the proposed class representative(s) must show (1) an ascertainable class of sufficient size as to justify class action treatment ("numerosity") and (2) a well-defined community of interest in questions of fact and law. (*Vasquez v. Superior Court* (1971) 4 Cal.3d 800, 809.) The factors the court considers in determining the community of interest element are (1) the predominance of common issues, (2) the typicality of the claims of the proposed class members, and (3) the ability of the proposed class representative to adequately represent the class. (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.)

In determining whether a class settlement is fair, adequate and reasonable, the court considers relevant factors, including: (1) the strength of plaintiffs' case; (2) the risk, expense, complexity and likely duration of further litigation; (3) the risk of maintaining class action status through trial; (4) the amount offered in settlement; (5) the extent of discovery completed and the stage of the proceedings; (6) the experience and views of counsel; (7) the presence of a governmental participant; and (8) the reaction of the class members to the proposed settlement. The list of factors is not exclusive, and the court is free to engage in a balancing and weighing of factors depending on the circumstances of each case.

Although the court gives regard to what is otherwise a private consensual agreement between the parties, the court must also evaluate the proposed settlement agreement with the purpose of protecting the rights of the absent class members who will be bound by the settlement and to ensure the absence of fraud, overreaching or collusion between the negotiating parties, and that the settlement, taken as a whole, is fair,

reasonable and adequate to all concerned. The court uniquely serves as the gatekeeper to protect the interests of the putative class and PAGA group.

The burden is on the proponent of the settlement to show that it is fair and reasonable. However, a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small.

(See *Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 244-45.)

Proposed Settlement

This action alleging Labor Code violations involving wage and hour matters, failure to pay minimum wages, reimburse business expenses, failure to provide appropriate meal periods, rest breaks and wage statements and unfair business practices was filed on June 2, 2022. A First-Amended Complaint was filed on December 28, 2023, which added a PAGA cause of action. A Second-Amended Complaint was filed by stipulation on October 22, 2025.

The parties engaged in mediation with Michael Loeb, an experienced wage and hour class action mediator. Months later the parties reached settlement.

Plaintiffs seek approval and certification of a class action and PAGA settlement representing 1236 putative class members of non-exempt employees in the gross amount of \$1,626,000. \$100,000 of this amount is assigned to the PAGA claims with 75% (\$75,000) allocated to LWDA and 25% (\$25,000) to aggrieved employees. For tax purposes 20% will be allocated to wages with taxes to be paid by Defendant in addition to the gross settlement funds, and 80% to penalties and interest. An escalator clause to address workweeks is included in the settlement.

Undeliverable funds will be paid to the Travis Credit Union Community Financial Wellness Fund/Travis Credit Union Foundation.

Class members are defined as all persons employed in California as non-exempt employees between November 16, 2019 and November 5, 2025. Aggrieved employees are persons employed in California and classified as non-exempt between March 7, 2022 and November 5, 2025. Plaintiffs contend that Defendant's wage and hour policies were applied uniformly to the non-exempt employees despite different classifications of employees within the class.

The average gross individual settlement for each class member is \$698.75. In addition, each of the eligible aggrieved employees will receive a fraction of the 25% of the PAGA settlement.

Plaintiffs' counsel attests to being experienced in class action litigation and consulted experts in evaluating a potential recovery. The pleadings establish the following analysis:

Claim	Best Case	Risk Analysis	Realistic Exposure
Reimbursement	\$1,621,450	20%/20%	\$64,858
Underpaid wages	\$3,191,927	30%/20%	\$191,516
Meal Period	\$846,270	30%/20%	\$50,776
Rest periods	\$18,660,900	20%/10%	\$373,218
Unpaid Overtime	\$87,187	50%/40%	\$17,437
Waiting Time	\$3,500,000	30%/20%	\$210,00
Wage Statement	\$2,800,000	30%/20%	\$168,000
PAGA	\$5,216,900	Recovery doubtful	\$100,000

Settlement Administrator

The fee of up to \$13,250 for ILYN Group, Inc. is reasonable.

Incentive Payments

Incentive payments to class representatives "must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit." (*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1395.) The court must also consider the "risk to the class representative in commencing suit" and any "notoriety and personal difficulties" he or she encounters as a result of the litigation. (*Id.* at 1394.)

The court is unlikely to approve \$10,000 for each representative which is on the high side, but routinely approves payments ranging between \$5,000 and \$7,500 depending upon efforts.

Attorneys Fees and Costs

As to attorneys' fees, calculations using 25%, 30% and 33% of the gross settlement should be included in the final approval moving papers. The court appreciates efforts of class counsel but also wants to ensure that members of the class receive benefits.

Notice

Notice should include accurate information on how to access the court's website and case file. Referencing JCCP 5254 will not work. In addition, please include ability to appear via Zoom and explain that the Zoom Credentials for Dept. 8 are on the court's website.

The ability to opt out via email should be included.

Ruling

The court has the following questions:

- (1) How many proposed class members have arbitration agreements? Do the arbitration agreements have class action waivers?
- (2) No copy of the Breanna Box v. Travis Credit Union Contra Costa complaint is available to the court nor was a consolidated or coordinated complaint filed. Counsel for Breanna Box shall file a declaration which includes copies of the operative pleading and answer from the Contra Costa case.
- (3) What remaining claims are pending in Contra Costa involving representative Breanna Box? How is Breanna Box a proper representative given her separate pending claims and the general release?
- (4) How is Nenita Cadungug a proper representative given her agreement to arbitrate? Does Cadungug's arbitration agreement cover class actions and/or include a class action waiver?
- (5) How are employees who are members of the proposed class who have signed arbitration agreements proper members of the same class as employees who have not?
- (6) It appears from the settlement agreement that the parties intended to negotiate an exception to the arbitration agreement for class settlement but to have the arbitration agreement(s) remain in effect for all other claims brought by class members? What is the legal authority for this outcome? How can class counsel bind members of the class to this outcome? If we proceed, should the notice advise employees regarding a limited waiver of arbitration?
- (7) Costs of \$30,000 are higher than typical. Please explain.
- (8) Please explain why the foundation was selected and how it benefits employees rather than turning over any unclaimed funds to the state in the employee's actual name. The court understands that the identity of all members of the class or aggrieved persons are actually known to the parties.

Department 8 is inviting you to a scheduled ZoomGov meeting.

<https://solano-courts-ca.gov.zoomgov.com/j/1619704645?pwd=aUwyYUFUcU5Eazl6SEkrcmcrRnRLUT09>

Meeting ID: 161 970 4645
Passcode: 675002